

ECO 5365: Replication 2 results

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1 Table 3 replication

1.1 Brief introduction

For the replication of the table 3, I used Stata for data management and the regressions. Two different Stata do-files were generated during this replication - one for data management and another one for Table 3 replication.

For the data replication, I used data from 2003 to 2022. In total, I chose 12 countries, including the US.

Considering that the paper does not specify how the aggregation was done for the sectors, I intuitively assigned those two digit industries to the sectors and formed the following sectors:

- Agriculture
- Minerals
- Chemicals
- Machinery
- Textiles
- Transport
- Other

The following sources were used for data collection:

- OECD data was used for GDP and Value Added;
- World Bank WTI was used for getting data on labor;
- IMF ITG data was used for getting Export and Import Price indexes;
- USA Trade Online was used to get data on US imports of goods according to the two digits HS system;
- Elasticities Data was acquired from Suderbury research;
- UN Comtrade was used to get data for exports from other countries in panel data.

Table 1: Regression Results by Sector

	(1)	(2)	(3)	(4)	(5)	(6)
	Agriculture	Chemicals	Machinery	Minerals	Textiles	Transport
Log variety	-0.0000925 (0.000242)	0.000459 (0.000444)	-0.000893* (0.000386)	0.00400*** (0.000859)	0.000127 (0.000150)	0.00192*** (0.000330)
Price effect	0.000587 (0.00104)	0.00192 (0.00171)	0.00250 (0.00136)	-0.00912** (0.00353)	0.00373*** (0.000725)	-0.00166 (0.00132)
Log Labor	0.0000980 (0.000129)	0.000269 (0.000195)	-0.000215 (0.000166)	0.000447 (0.000371)	0.000198** (0.0000698)	0.000285 (0.000163)
R-sq	0.012	0.032	0.059	0.200	0.541	0.271

Note: Standard errors in parentheses.

Significance levels: * $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$